

L3Harris Technologies

Business Development Dossier

Industry	Defense & Aerospace
Revenue	\$21.9B
Employees	50,000
Ideal Customer Profile Score	90

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name L3Harris Technologies, Inc.

Headquarters Melbourne, Florida

Founded 2019

Ownership

Public (NYSE: LHX); formed from 2019 merger of L3 Technologies and Harris Corporation. Widely held institutional ownership.

Footprint

Operations across U.S. and international: Melbourne FL (HQ), Rochester NY (Space & Mission Systems), Camden NJ, Salt Lake City UT, Mason OH, and multiple locations globally. Aerojet Rocketdyne facilities in Huntsville AL, Sacramento CA, and other sites (some being divested). 50,000 employees.

SECTION 1b

Company Overview

L3Harris Technologies is a defense technology company executing one of the most complex portfolio transformations in the sector: the LHX NeXt program (\$1.2B in cost savings achieved), reorganization from four to three segments, divestiture of Aerojet Rocketdyne Space Propulsion to AE Industrial Partners, and an IPO of Missile Solutions with \$1B government investment - all under CEO Chris Kubasik. With \$21.9B revenue, \$27.5B in annual orders, and 50,000 employees, L3Harris is simultaneously shrinking (divestitures), growing (record orders), and restructuring (three-segment model).

SECTION 2

Financial Health & Growth Stage

Understanding L3Harris Technologies's financial position and trajectory is critical to framing any engagement conversation.

Revenue: \$21.9B in FY2025, up 3% (5% organically). Orders \$27.5B with 1.3x book-to-bill. Record backlog.

Profitability: LHX NeXt delivered \$1.2B in cumulative cost savings (exceeded \$800M initial target, then \$1.0B revised target). Margins expanding through operational improvements.

Strategic Transactions: Divesting Aerojet Rocketdyne Space Propulsion (majority stake to AE Industrial Partners -> 'Rocketdyne' brand). Missile Solutions planned IPO with \$1B U.S. government investment, L3Harris retaining controlling ownership. Both expected H2 2026.

Leadership Changes: New CFO Ken Sharp (from Peraton, March 2026). Sam Mehta appointed president overseeing two segments (March 2026). Ken Bedingfield now exclusively leading Missile Solutions toward IPO.

Key Pressures: L3-Harris merger integration still ongoing 7 years later (Glassdoor reviews cite persistent friction);

Aerojet Rocketdyne integration challenged; divestitures create organizational uncertainty; employee morale declining (Glassdoor rating down 2% in 12 months).

Key Tailwinds: LHX NeXt exceeding cost savings targets; record orders and backlog; strong position in space, communications, and missile technology; government investing \$1B in Missile Solutions signals strategic confidence.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Heidi Wood - SVP, LHX NeXt Transformation [PRIORITY TARGET]

Former Wall Street defense analyst (Morgan Stanley); brought analytical rigor to enterprise transformation

Outreach rationale: THE transformation leader at L3Harris - elevated to report directly to CEO Kubasik. Drives \$1.2B cost savings program, organizational redesign, and operational improvement across 50,000 employees. As a former Wall Street analyst, she thinks in terms of value creation and execution discipline. This is the most obvious McChrystal champion in the defense industry - she's literally the Chief Transformation Officer reporting to the CEO.

Sam Mehta - President (Space & Mission Systems + Communications & Spectrum Dominance) [PRIORITY TARGET]

Now oversees two of three segments - consolidating operational oversight under fewer leaders

Outreach rationale: Newly appointed to oversee TWO segments simultaneously - Space & Mission Systems and Communications & Spectrum Dominance. This dual-segment role requires cross-segment coordination that didn't exist before. He needs an operating model for managing two businesses as a coordinated whole. McChrystal's Team of Teams directly addresses this.

Additional leadership team members relevant to the engagement:

Christopher E. Kubasik - Chairman & Chief Executive Officer

30+ years A&D experience; former Lockheed Martin executive (was named president/COO before departure); driving multi-front transformation

Ken Sharp - SVP & Chief Financial Officer

New CFO from Peraton (and before that DXC Technology and Northrop Grumman); brings multi-company financial transformation experience

Ken Bedingfield - President, Missile Solutions

Former dual-hat CFO + Aerojet Rocketdyne President; now exclusively leading Missile Solutions toward IPO

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how L3Harris Technologies operates today and where friction exists.

Organizational Structure

Three segments (as of 2026): Space & Mission Systems, Communications & Spectrum Dominance (both under Sam Mehta), and Missile Solutions (Ken Bedingfield, heading toward IPO). Corporate transformation led by Heidi Wood (LHX NeXt), reporting to CEO. New CFO Ken Sharp. The organizational complexity: L3Harris is simultaneously running three businesses, divesting parts of one (Aerojet Space Propulsion), preparing another for IPO (Missile Solutions), and transforming the enterprise (LHX NeXt) - all while the original L3-Harris merger integration continues.

Culture Signals

Glassdoor (3.8/5 overall, declining 2% in 12 months): The L3-Harris merger (2019) still creates cultural friction 7 years later. Employees report 'lots of littles becoming one whole' in terms of SAP systems, time cards, procurement, and location consolidation. The transition from 'many small businesses' to 'one integrated defense company' is still underway.

Post-Merger Leadership Exodus: Glassdoor reviews cite that 'since the merger senior management was pushed out' - good leaders replaced with people focused on cost-cutting rather than people. Favoritism and lack of accountability at the top while lower levels are micromanaged.

Compensation Frustration: Strong performers typically receiving ~2% annual raises, creating retention risk in a hot defense labor market. This compounds the cultural challenges.

Innovation Slowdown: Employees report that since the merger, 'there has been a significant change in the pace of innovation and interest in investing in new business' - the focus on cost savings (LHX NeXt) may come at the expense of the entrepreneurial culture that made L3's businesses successful.

Transformation Fatigue: Seven years of merger integration + LHX NeXt cost savings + Aerojet integration + segment reorganization + divestitures = significant change fatigue across 50,000 employees.

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging L3Harris Technologies.

1. 2026-01-05 - Reorganized from four to three business segments; Aerojet Rocketdyne split into Space Propulsion (divesting) and Missile Solutions (IPO)

Most significant organizational restructuring since the 2019 L3-Harris merger. Employees must adapt to new reporting lines, new segment boundaries, and new leaders.

2. 2026-03-12 - Sam Mehta appointed president overseeing two segments; leadership restructured with consolidated oversight

Dual-segment president role creates new organizational coordination requirement. Cross-segment decisions that previously escalated to CEO can now be made by Mehta - if the operating model supports it.

3. 2026-03-02 - Ken Sharp hired as new CFO from Peraton; Ken Bedingfield focused exclusively on Missile Solutions IPO

CFO change during portfolio transformation signals financial leadership needs refreshing. Bedingfield's exclusive focus on Missile Solutions IPO creates a 'company within a company' dynamic.

4. 2026-01-15 - Agreed to sell Aerojet Rocketdyne Space Propulsion majority stake to AE Industrial Partners; planned Missile Solutions IPO with \$1B government investment

Two simultaneous portfolio transactions - one divestiture, one IPO - create organizational complexity that few defense companies have managed simultaneously.

5. 2025-12-01 - LHX NeXt achieved \$1.2B in cumulative cost savings; Heidi Wood's role elevated to report directly to CEO

Transformation program exceeding targets gives McChrystal a success story to build on - rather than 'fixing' something broken, McChrystal helps scale what's working.

6. 2025-12-01 - FY2025: Revenue \$21.9B, orders \$27.5B, book-to-bill 1.3x - record demand despite portfolio restructuring

Record orders during restructuring means the organization must deliver at pace while transforming - the 'change the engine while flying' challenge.

SECTION 6

McChrystal Fit Assessment

L3Harris has more simultaneous transformation initiatives than any other defense company - segment reorganization, divestitures, IPO, LHX NeXt, new leadership structure, all during record demand. Heidi Wood (SVP LHX NeXt, reporting to CEO) is a named, reachable, natural McChrystal champion. Revenue \$21.9B is large but the entry through Wood's transformation office is specific. The Glassdoor data showing cultural fatigue and 7-year merger integration challenges validates the organizational need. McChrystal's military credibility resonates in defense, and the 'scale what's working' positioning (LHX NeXt succeeding -> McChrystal helps extend it) is more compelling than 'fix what's broken.'

Primary Problem

Executing the most complex portfolio transformation in defense - simultaneously restructuring from four to three segments, divesting Aerojet Space Propulsion, preparing Missile Solutions for IPO with \$1B government investment, delivering \$1.2B+ in LHX NeXt cost savings, managing a new dual-segment president structure, onboarding a new CFO, and maintaining record order delivery - across 50,000 employees still integrating from the 2019 L3-Harris merger.

Best McChrystal Capability Fit

Multi-front portfolio transformation and enterprise operating model - L3Harris has more simultaneous organizational change initiatives than any other defense company. McChrystal's coordination methodology connects these parallel workstreams (LHX NeXt, divestitures, IPO, segment reorganization, new leadership) into a coherent enterprise operating rhythm. Heidi Wood (SVP LHX NeXt) is the obvious champion - she's already the Chief Transformation Officer and would benefit from McChrystal's operating model methodology.

Likely Objections to Engagement

- LHX NeXt is already exceeding targets - why add external help?
- Heidi Wood runs transformation internally
- Portfolio transactions are financial/legal, not organizational
- Budget focused on investment in growth programs, not advisory

Competitive Advisory Landscape

- McKinsey - defense strategy, portfolio transformation
- BCG - operational transformation, cost optimization
- Deloitte - IT integration (SAP consolidation), change management
- Internal: LHX NeXt team under Heidi Wood has significant capability

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. With LHX NeXt delivering \$1.2B in savings, a dual-segment president structure, Aerojet divestiture, and Missile Solutions IPO all running simultaneously - how is the enterprise coordination working across all these change initiatives?

Demonstrate awareness of the full scope of transformation. Position McChrystal as helping coordinate the parallel workstreams, not replacing any single initiative.

2. Sam Mehta is now overseeing two segments - Space & Mission Systems and Communications & Spectrum Dominance. What's the operating model for managing two businesses as a coordinated whole rather than two separate P&Ls that happen to share a boss?

Specific question about the new dual-segment structure. Shows understanding that structural change doesn't automatically create operational coordination.

3. Seven years after the L3-Harris merger, Glassdoor reviews suggest cultural integration is still a work in progress. As LHX NeXt drives cost savings, how are you balancing efficiency with the innovation culture that made L3's businesses successful?

Acknowledge the tension between cost savings and innovation culture - a sensitive topic that shows genuine understanding of the organizational dynamics.

Recommended Meeting Framing

Frame as a conversation about scaling enterprise transformation - specifically, how McChrystal can help Heidi Wood's LHX NeXt program extend from cost savings into enterprise operating model design. Position as 'you've proven cost savings work; McChrystal helps build the operating model that sustains those savings and extends them into cross-segment coordination.' The pitch is to Wood directly - she's the transformation leader who reports to the CEO.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects L3Harris Technologies's market positioning to potential McChrystal engagement opportunities.

Brand Value: L3Harris is positioned as the 'trusted disruptor' in defense - combining Harris Corporation's communication/spectrum heritage with L3's broad defense technology portfolio. The brand carries credibility in tactical communications (the standard for U.S. military radios), space systems, and now missile technology.

Brand Evolution: From two separate companies (L3 Technologies + Harris Corporation) to an integrated defense technology platform. The brand is still evolving - seven years post-merger, the 'L3Harris' identity is established but the cultural integration behind the brand continues.

Brand Threats: Aerojet Rocketdyne integration challenges damaged operational credibility. Glassdoor reviews showing cultural fatigue affect employer brand and talent recruitment. If LHX NeXt cost savings come at the expense of innovation, the 'trusted disruptor' brand erodes.

McChrystal Connection: L3Harris's brand promise of 'trusted, innovative defense technology' requires organizational coordination across a portfolio in flux - divestitures, IPO, segment reorganization all happening while customers need reliable delivery. McChrystal's operating model ensures the organizational transformation doesn't disrupt the brand promise of reliable execution.

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing L3Harris Technologies. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Multi-Front Portfolio Transformation Coordination

L3Harris has more simultaneous transformation initiatives than any other defense company: LHX NeXt (\$1.2B savings), four->three segment reorganization, Aerojet Space Propulsion divestiture, Missile Solutions IPO (\$1B government investment), new CFO, new dual-segment president structure. Each initiative has its own team, timeline, and dependencies. McChrystal's operating model connects them into a coherent enterprise cadence that prevents collision and ensures each initiative reinforces the others.

Fit Dimension 2: 7-Year Merger Integration Completion

The 2019 L3-Harris merger is still not fully integrated (Glassdoor: "lots of littles becoming one whole" in SAP, procurement, processes). LHX NeXt drives cost savings but hasn't completed the cultural integration. McChrystal's shared consciousness methodology finishes what the merger started - creating one culture from two, seven years in.

Fit Dimension 3: Dual-Segment Operating Model (Sam Mehta)

Sam Mehta now oversees Space & Mission Systems and Communications & Spectrum Dominance. This dual-segment role requires a new operating model - cross-segment resource coordination, unified strategic planning, and coordinated customer engagement. McChrystal's Team of Teams designs the operating rhythm for this new structure.

Fit Dimension 4: Innovation-Efficiency Balance

LHX NeXt's cost savings may be eroding the innovation culture (Glassdoor: "significant change in pace of innovation since merger"). McChrystal's operating model creates efficiency through coordination (not cost-cutting) - a more sustainable approach that preserves innovation capacity.

9b. Cumulative Case - Why L3Harris Is a Top Pipeline Opportunity

L3Harris is the most transformation-dense company in the defense pipeline. Signal chain: L3-Harris merger (2019) -> Aerojet acquisition (2023) -> LHX NeXt (\$1.2B savings) -> four->three segment reorg -> Aerojet divestiture -> Missile Solutions IPO -> new CFO -> dual-segment president -> all during record \$27.5B orders. Heidi Wood (SVP LHX NeXt, reports to CEO) is the named entry point - literally the Chief Transformation Officer. Revenue potential: \$400K-\$500K initial (enterprise transformation coordination alongside LHX NeXt), \$1.2M-\$1.5M deployment, \$400K ongoing. Total: \$2M-\$2.5M over 18-24 months.

9c. Enterprise Issues

1. Transformation Initiative Collision: Six+ major initiatives competing for management attention, budget, and organizational capacity. Without explicit coordination, they interfere with each other. 2. 7-Year Merger Integration Hangover: L3 and Harris cultures still haven't fully merged - different systems, norms, and identities persist in different locations and business lines. 3. Divestiture + IPO Organizational Distraction: Aerojet Space Propulsion separation and Missile Solutions IPO preparation pull organizational attention from ongoing operations and customer delivery. 4. Employee Morale Decline: Glassdoor rating declining 2% over 12 months; employee reviews cite favoritism, low pay raises (~2%), and post-merger leadership changes that removed good leaders. 5. Innovation vs. Efficiency Tension: LHX NeXt's cost focus may suppress the entrepreneurial innovation that made L3's many small businesses successful. Finding the balance is critical for long-term competitiveness. 6. New Leadership Learning Curves: New CFO (Ken Sharp, March 2026), expanded Sam Mehta role (March 2026), and Bedingfield's exclusive Missile Solutions focus all create leadership transition dynamics simultaneously.

9d. Expected Outcomes

1. Multi-Initiative Enterprise Coordination: Operating rhythm connecting LHX NeXt, divestitures, IPO, and segment reorganization. Measurable: zero cross-initiative conflicts causing delays. 2. Cultural Integration Acceleration: Shared consciousness framework completing the 7-year merger integration. Measurable: employee engagement scores improving (reversing 2% decline). 3. Dual-Segment Operating Model: Coordination cadence for Sam Mehta's two-segment structure. Measurable: cross-segment resource allocation and strategic planning streamlined. 4. Innovation-Efficiency Balance: Operating model that drives coordination efficiency without suppressing innovation. Measurable: new business investment maintained while cost savings continue. 5. Missile Solutions IPO Readiness: Organizational design for standalone Missile Solutions company. Measurable: IPO organizational readiness milestones on-track.

9e. Key Stakeholders

CEO

Leader: Chris Kubasik, Chairman & CEO
Role: Enterprise transformation architect
McChrystal Relevance: Executive sponsor

LHX NeXt

Leader: Heidi Wood, SVP
Role: Enterprise transformation
McChrystal Relevance: Primary entry point: Chief Transformation Officer

Dual-Segment President

Leader: Sam Mehta
Role: Space + Communications
McChrystal Relevance: Priority: New dual-segment operating model

CFO

Leader: Ken Sharp
Role: Financial transformation (new hire)
McChrystal Relevance: Budget gatekeeper

Missile Solutions

Leader: Ken Bedingfield, President
Role: IPO preparation
McChrystal Relevance: Standalone company creation

HR

Leader: [CHRO]
Role: Culture, morale, retention
McChrystal Relevance: Employee engagement recovery

9f. Opportunity Thesis

Strategic Signal Convergence - Why Now: LHX NeXt success (\$1.2B) -> four->three segment reorg -> Aerojet divestiture -> Missile Solutions IPO -> new CFO -> dual-segment president -> record orders. 2026 is the year all these initiatives are in simultaneous execution. Heidi Wood's elevated role signals the enterprise is ready for the next level of transformation support.

The Structural Paradox - Why McChrystal, Not McKinsey: McKinsey likely advised on portfolio strategy (which businesses to keep/divest). BCG may have helped with LHX NeXt design. But coordinating six simultaneous transformation initiatives while maintaining customer delivery across 50,000 employees - that's an enterprise operating model challenge, not a strategy challenge. McChrystal builds the coordination system that lets all six initiatives execute without collision.

Phased Engagement: Phase 1 (\$400K-\$500K): Enterprise transformation coordination - work alongside Heidi Wood's LHX NeXt team to extend from cost savings to enterprise operating model. Phase 2 (\$800K-\$1M): Dual-segment operating model for Sam Mehta + Missile Solutions IPO organizational design. Phase 3 (\$400K retainer): Ongoing transformation management. Total: \$1.6M-\$2M.

Multi-Threaded Pursuit:

- Thread 1: Heidi Wood (SVP LHX NeXt) - THE entry point. Angle: "LHX NeXt proved \$1.2B in savings. McChrystal helps build the enterprise operating model that sustains those savings and extends them to cross-segment coordination." She's a former Wall Street analyst who will appreciate McChrystal's disciplined methodology.
- Thread 2: Sam Mehta (dual-segment president) - new role. Angle: "How are you building the operating model for managing Space + Communications as a coordinated whole?" He needs this and it's new territory.
- Thread 3: Chris Kubasik (CEO) via defense industry network - executive sponsor. Kubasik's Lockheed Martin background connects to McChrystal's defense network. Defense industry conferences (SNA, AFA, Space Symposium).
- Warm Introduction Vectors: Defense industry network; Heidi Wood's Wall Street connections (if McChrystal has Morgan Stanley/financial analyst relationships); Melbourne FL/defense tech community; Space Symposium.